July - December 2015

Monetary Policy Statement



Monetary Policy Department and Chief Economist's Unit

Bangladesh Bank

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Highlights

- This is a cautious but explicitly pro-growth monetary policy stance supporting the 7 percent growth target and the 6.2 percent inflation target for the fiscal year 2016.

- Reserve money is projected to grow at 16 percent and broad money (M2) at 15.6 percent which are adequate to support the growth and inflation targets. It has also taken the growth rates of both public and private credit into account.

- Domestic credit is projected to grow at 16.5 percent at the end of the fiscal year 2016. Private sector credit is projected to grow at 15 percent and public sector credit at 23.7 percent.

- This is a growth supportive monetary policy that promotes investments through the strategy of selective easing.

- Policy interest rates (repo, reverse repo) will remain unchanged, but easing will be considered after point-to-point headline general inflation and core CPI inflation take a sustained declining trend.

- Bangladesh Bank's supervisory vigilance on banking governance will be straightened further to clamp down on loan delinquencies.

- Besides already ongoing inclusive financing for farm and nonfarm small and medium enterprises (SMEs) and the export development fund (EDF) support for exporters, new medium to longer term financing windows totaling USD 500 million will be opened in the fiscal year 2016 for financing of manufacturing enterprises, and for greening initiatives in the export oriented textiles, apparels, and leather sectors.

- As before, Bangladesh Bank's monetary and financial policy stance remains grounded on the developmental central banking mandate enshrined in its charter.

Bangladesh Bank's Monetary Policy Stance

for the First Half of the FY2016: July-December 2015

This Monetary Policy Statement (MPS) is announcing Bangladesh Bank's monetary policy stance for the first half (H1) of the FY16 as the first leg of its monetary program for the FY16, drawn up in the backdrop of sustained spell of CPI inflation moderation and output growth momentum upheld by cautious but explicitly growth supportive stance of monetary and financial policies pursued in the recent years. As usual, the FY16 monetary program and the monetary policy stance for the H1 of the FY16 have been chalked up drawing on the experience with the preceding program and on inputs from face to face and online stakeholder consultations.

Core Objectives

The main objective of Bangladesh Bank's monetary policy is moderation and stabilization of CPI inflation alongside supporting output and employment growth. Prolonged global growth slowdown accompanying low global inflation amply shows that very low inflation is as unhelpful for growth as is very high inflation; particularly so for developing economies where price levels of nontradeable goods are far below those in advanced economies. Bangladesh Bank would accordingly emphasize on stabilizing CPI inflation around the current level rather than on driving it down much further. Bangladesh Bank's monetary and financial policies will continue supporting inclusive, environmentally sustainable growth; addressing in its developmental role the longer term risks to macro-financial stability alongside usual business cycle related short-term ones. The monetary policy stance for the H1 of the FY16, therefore, will highlight the following points.

- stabilizing inflation at moderate level targeted in the national budget and other macroeconomic policy pronouncements,
- supporting the public policy objectives of inclusive, environmentally sustainable growth, and
- maintaining orderliness in transition of domestic currency exchange rate to new market equilibriums in response to pick up in investment and consumption driven imports vis-a-vis trends of export receipts and other inflows.

As always, Bangladesh Bank formulates its monetary policy keeping two things in mind - monetary policy objectives and global as well as domestic developments.

Global Developments

Signals received from the global outlook are mixed. While Europe is floundering in near recession, US recovery is evident if not robust. Europe has already been engaged in massive quantitative easing and considering more to come, but the United States signals raising the Federal funds rate at least slightly to combat the rising signs of inflation since their economy is reinvigorating.

The story of Chinese double-digit growth has gone out of steam and it will remain so for a while. Its projected growth for 2016 turns out to be 6.3 percent. In

contrast, India, which fell behind China in the growth race over the last liberalization period of 3 decades, has exceeded its regional rival by projecting a growth figure of 7.5 percent for 2016.The global growth of 3.8 percent includes 2.4 percent growth in advanced countries and 4.7 percent growth in emerging and developing nations. The developing bloc will face 4.8 percent inflation in 2016 while the number is only 1.4 percent for the advanced bloc.

Table: Overview of the World Economic Outllok

GDP at constant prices	% change			Projections	
	2012	2013	2014	2015	2016
World	**3.4**	**3.4**	**3.4**	**3.5**	**3.8**
Advanced Economies	1.2	1.4	1.8	2.4	2.4
USA	2.3	2.2	2.4	3.1	3.1
Euro Area	-0.8	-0.5	0.9	1.5	1.6
Other Advanced Economies	1.7	2.1	2.7	2.7	2.8
Emerging Market and Developing Economies	5.2	5.0	4.6	4.3	4.7
China	7.8	7.8	7.4	6.8	6.3
India	5.1	6.9	7.2	7.5	7.5
Bangladesh	**6.3**	**6.1**	**6.1**	**6.3**	**6.8**

Source: IMF World Economic Outlook (April 2015)

Based on these projections, the government's 7.0 percent growth target seems ambitious but attainable subject to providing the right enabling environment. The 6.2 percent CPI inflation target announced in government's FY16 budget, not far off the current levels, has been used alongside the 7.0 percent GDP growth target in chalking up Bangladesh Bank's FY16 monetary program.

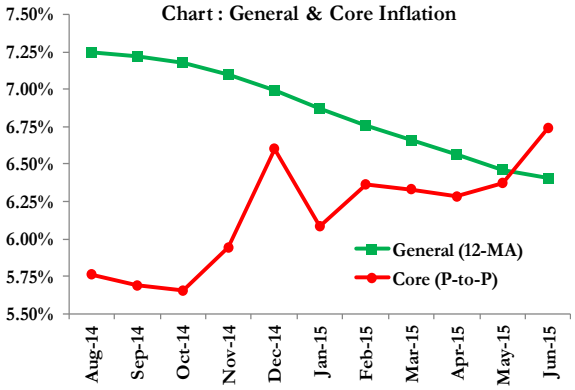
Economic Growth

When China with its' double digit growth for 24 years has now come down to the 6 plus range, India's 7.5 percent growth projection remains encouraging for Bangladesh being India's neighbor and a dominant trade partner. Needed enabling environment for attaining 7 percent real GDP growth in the FY16 would include urgent redressing of infrastructural and administrative deficiencies impeding investments, alongside preserving political calm and stability.

Inflation

An economy cannot thrive without macro stability which requires moderate inflation and price stability. Hence, moderate inflation lies in the core objective of the central bank. The word 'moderate' is susceptible to various interpretations. But, we try to be more definitive. For a developing economy like Bangladesh, various empirical studies and the public perception define a range of 4 to 6 percent inflation as moderate. The upper limit of this range may move further up if the economy is accelerating at 7 percent or above. Then affording an inflation rate of 7 or 8 percent will be necessary to absorb the speeding up of employment, output, and wages.

Given the background, Bangladesh's current level of inflation at 6.4 percent is already moderate. The government's 6.2 percent target for the FY16 implies that we need to go for further reduction by slightly pressing the brake on the price level. Now if money supply remains on the current stance that is cautious in general but at the



same time generously accommodative for growth generating pursuits, achieving that target will not be difficult.

Although general inflation has fallen from 6.87 percent in January 2015 to 6.40 percent in June, core inflation that counts nonfood and nonfuel inflation is on the rise. It has inched up from 6.08 percent in January 2015 to 6.74 percent in June of the same year, warranting a cautious stance right now. That is reflected in the money supply and repo rates of the central bank.

Money Supply

Based on the conflicting signals from general inflation and core inflation, we decide to remain on our current cautious but generously supportive stance for inclusive, sustainable output growth. Following the growth supportive stance, we plan to increase broad money (M_2) at the rate of 15.6 percent. This stance of money supply complies with the growth target, absorbs moderate inflation, and finally takes required level of monetization into account.

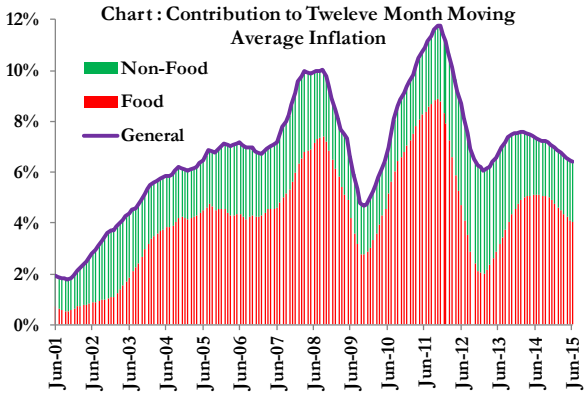
Table :Monetary Aggregates(Y-o-Y growth in%)

Item	Actual		Program	
	Jun-14	Jun-15	Dec-15	Jun-16
Net Foreign Assets*	40.3	21.3	17.5	3.2
Net Domestic Assets	10.6	9.9	14.3	19.5
Domestic Credit	11.6	10.1	13.1	16.5
Credit to the public sector	8.8	-2.6	7.9	23.7
Credit to the private sector	12.3	13.2	14.3	15.0
Broad money	**16.1**	**12.4**	**15.0**	**15.6**
Reserve money	**15.4**	**14.3**	**16.5**	**16.0**

**Constant exchange rates of end June 2015 have been used.*

Policy Interest Rates

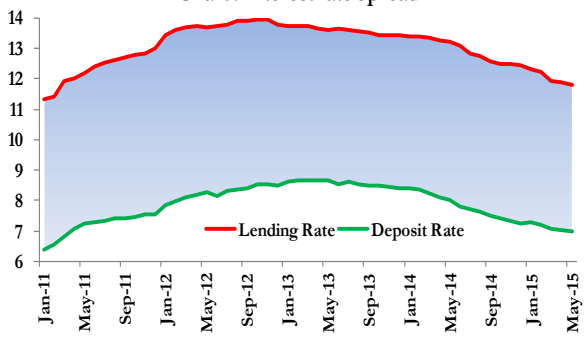
The repo and reverse repo rates have been kept unchanged at 7.25 percent and 5.25 percent respectively, for several months now. However, gains in inflation decline earned over this period do not yet make a case for easing of policy interest rates, given that both headline point-to-point CPI inflation and core CPI inflation have edged up recently. The fall in general inflation mainly came from the declining food prices. Food inflation fell from 7.68 percent in January 2015 to 6.68 percent in June of the same year. Here runs the public perception that the fuel price reduction mainly affected general inflation. But, the government did not adjust that reduction to domestic prices. Although expectations owing to the global fuel price might have played a positive role in dampening inflationary concerns, the food component that occupies almost 60 percent of the consumption basket played the major role in pulling the general inflation figure downward.



Based on just food prices, which are more volatile in nature, it will not be prudent to expect that general inflation and in particular nonfood nonfuel core inflation will be falling when nonfood inflation is rising. Hence, Bangladesh Bank remains cautious on inflation and is refraining from policy rate easing right away, but will not hesitate to do so as point-to-point and core CPI inflation take sustained downward turn.

In addition, the fall in interest rates is not significant enough to warrant a downshift of policy rates immediately. For example, the weighted average deposit rate

Chart : Interest rate Spread



fell from 7.71 percent in July 2014 to 6.99 percent in May 2015. The average spread, which stands on the average deposit rate to give us the average lending rate, fell from 5.13 percent in July 2014 to 4.83 percent in May 2015. Consequently the average lending rate fell from 12.84 percent in July 2014 to 11.82 percent in May 2015. The call money rate has fallen from 8.57 percent in January to 5.79 percent in June 2015. The changes are nevertheless not substantial enough to outweigh the concern about rising core inflation. Policy rates will, therefore, remain on the course as before. As already indicated, we will revise them whenever further developments warrant us to do so.

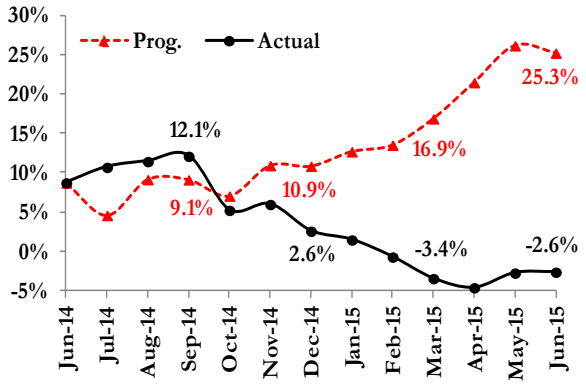
Foreign and Domestic Assets

With accommodative stance for growth supportive understandings, the stock of broad money is projected to be taka 9099 billion in June 2016, representing 53.0 percent monetization of the economy. This stock comprises two figures: 1) taka 1946 billion or USD 25.0 billion as net foreign assets (NFA) and 2) taka 7153 billion as net domestic assets (NDA). The amount of NDA is projected to be composed of domestic credit of taka 8096 billion and a negative figure of taka 943 billion against other items (net). Domestic credit, which represents a 16.5 percent rise from the previous June figure, can be decomposed between public and private sector credit as taka 1488 billion and taka 6608 billion, respectively.

Credit Growth

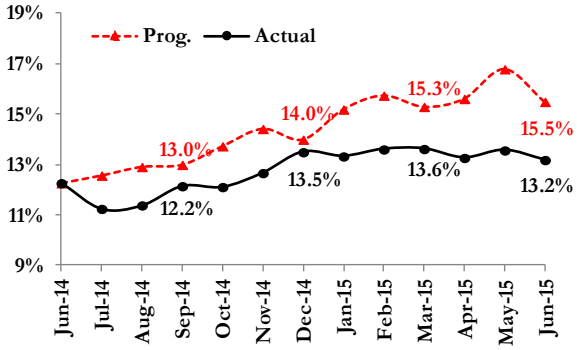
The government is likely to take more money from the banking system as reflected in the last budget and Bangladesh Bank has kept sufficient provisions for that. The credit growth figures in the public

Chart: Public Sector Credit Growth



sectors have always been very volatile based on the actual financing needs of the government. It registered a negative figure of 2.6 percent in the last fiscal year whereas Bangladesh Bank projects a positive growth rate of 23.7 percent for the current fiscal year. In contrast, private sector credit growth has always remained stable particularly since the fiscal year of 2013 when the figure was 10.8 percent and has stood higher at 13.2 percent in the FY15. All these figures were coupled with 6-plus percent economic growth. If the last fiscal year's 13.2 percent credit growth could endow the economy with 6.5 percent

Chart: Private Sector Credit Growth



output growth, a provision of 15.0 percent private credit growth appears to be adequate to support 7.0 percent output growth for the current fiscal year.

Selective Easing

In the FY16 Bangladesh Bank will continue with the existing stance that is cautious overall but clearly accommodative in supporting productive pursuits. Commercial banks have been motivated and supported in extending loans to the productive and vulnerable sectors at lower interest rates. Green projects will avail loan at a lower rate and so will export promotion activities. The World Bank has committed to contribute USD 300 million as credit. The World Bank money will be for medium to longer term foreign currency financing of manufacturing projects. Bangladesh Bank will add another USD 200 million which will be specifically for greening initiatives in the export oriented textiles, apparels, and leather sectors.

In summary, a fund for USD 500 million will be created to support medium and long-term projects, especially environmentally responsible investments at lower interest rates. Bangladesh Bank extends low cost funds to promote women entrepreneurships, skill building projects, and energy expansion initiatives.

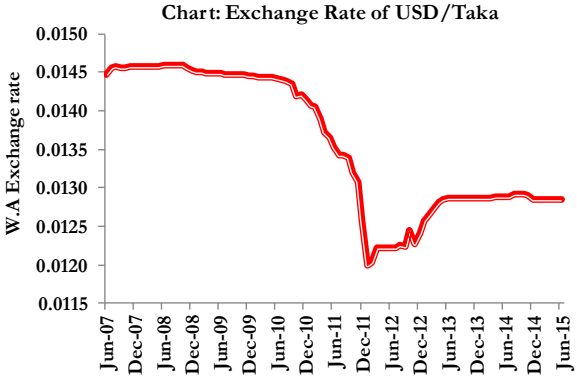
Bangladesh Bank has so far disbursed taka 140,000 million under refinance schemes to support above subsectors. It may be noted that the Export Development Fund (EDF) has been increased to USD 2 billion from only USD 100 million in 2006. Peasants get low cost credit and so do sharecroppers.

Thus, Bangladesh Bank has adopted selective easing through judicious variations of interest rates. If taken together, the productive sectors are accessing low cost financing and hence contributing substantially to the supply side capacity of the economy.

Exchange Rate and Foreign Reserves

Bangladesh Bank has kept on buying foreign exchange to protect external competitiveness of taka by easing

Chart: Exchange Rate of USD/Taka

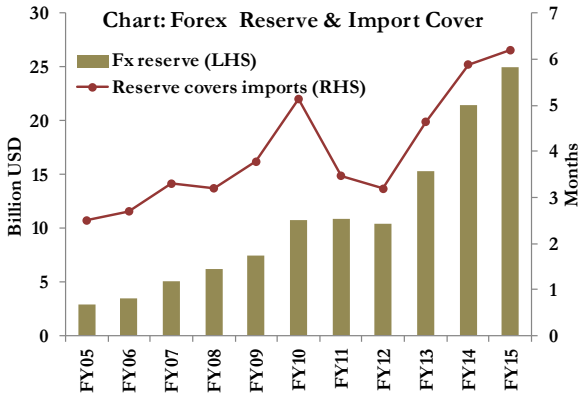


appreciation pressures on it. The central bank, however, exercises a managed float to maintain exchange rate stability by ironing out day-to-day fluctuations. Preserving that stability is an integral part of monetary policy although infrequent adjustments to market pressures have been carried out in the past. That policy stance helped Bangladesh Bank to maintain exchange rate stability for the last 2 years and a quarter since early 2013.

While the central bank's purchases of foreign currencies from the market is defusing appreciating pressures on taka and thus on the exchange rate, lackluster performances of exports convince us to lower the value of taka against the dollar and thus depreciate the exchange rate. Since taka is pegged with the dollar that has much appreciated against other major currencies like Euro, the real effective exchange rate (REER) is also on the rise. Whether this development appears to be the main reason for the weak export performance over the last fiscal year is a matter which remains to be substantiated. Our exporters have been prudent enough to go for natural hedging by going mostly for US dollar based export contracts even with the European buyers.

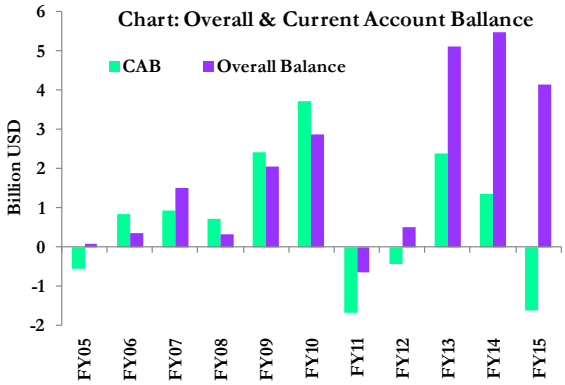
Bangladesh's FY15 export growth slowdown to 3.35 percent is attributable largely to demand weakness in the European Union from the Greek debt debacle and other malaise. In the last FY15, imports grew at around 12 percent - a rate much higher than export growth of 3.4 percent. If that trend continues, appreciating pressures will gradually die out, sending Bangladesh Bank to a position that enables depreciation with better ease.

Bangladesh Bank's foreign exchange reserves have grown fast to a level generally deemed as adequate, but not yet to a level that could be viewed as excessive, seen against those of other developing economy comparators. At the moment, this amount can meet approximately 6 months' import bills. Bangladesh Bank also sees a slowdown in the growth rate of foreign exchange reserves in the near future because of imports' outpacing exports by around 8.5 percentage points.



Balance of Payments

At the end of the last fiscal year 2015, current account deficit stood at USD 1.63 billion while the nation enjoyed surpluses over the fiscal years of 2013 through 2014. This does not signify that the external sector is gradually running into a difficult stage. The overall balance will still remain positive at USD 4.16 billion in the FY15 - slightly less than USD 5.48 billion from the FY14.



The next current account deficit for the FY16 is projected to reach USD 3.55 billion which will eventually reduce the overall balance to USD 1.13 billion. The jump in current account deficit from USD 1.63 billion to USD 3.55 billion is mainly originating from an augmenting trade deficit that is expected to rise from USD

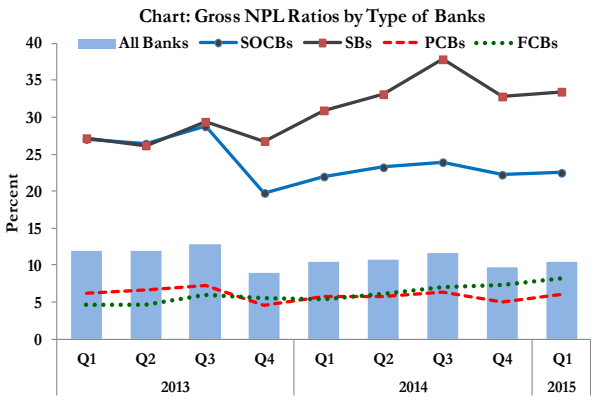
10.02 billion in the FY15 to USD 13.42 billion in the FY16.

Modest current account deficits are usual and desirable in growing economies. Bangladesh's current account deficit that turns out to be less than 1 percent of GDP is comfortably manageable and it does not pose any risk at this moment. Rather, it indicates the growing demand for capacity building and more productivity in the economy since more than 65 percent of our imports comprise capital machinery, intermediate goods, and raw materials. Imports bolster exports in Bangladesh. We expect 14 percent growth in imports, 7.5 percent growth in exports, and 10 percent growth in remittances for the FY16. An augmenting current account deficit will turn out to a blessing in disguise for at least a year or two ahead once it comes to the exchange rate and reserves.

Recent sustained pick up in investment and consumption imports will in the near term ease appreciation pressures on taka, enhancing its export competitiveness. The growth rate of foreign exchange reserves will slow down and the import coverage will fall before reserves turn out to be a liability. The foreign reserves are projected to keep rising to reach USD 26 billion in the FY16 from USD 25 billion in the FY15, but the import coverage will marginally fall from 6.2 to 5.7 months. Around six months of import coverage is generally deemed safe and comfortable for an emerging country like Bangladesh.

Banking Governance

Bangladesh Bank monitors the recent rise of nonperforming loans with concern and care. While some of these figures are potentially alarming, Bangladesh Bank has already taken some corrective measures to clamp down on classified loans. Bangladesh Bank will not be lenient in this regard. While the cases of the credible borrowers with potential for better businesses will be reviewed, the central bank will not hesitate to take any stern measures against the

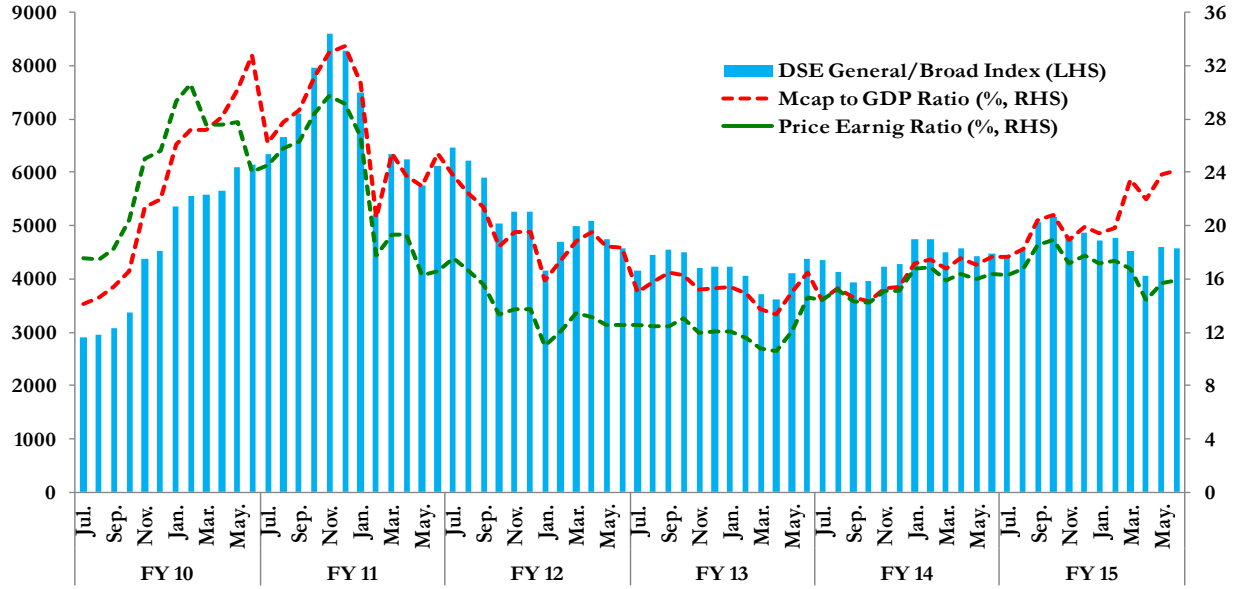


habitual defaulters and bad borrowers with a track record of persistent delinquencies. The central bank has taken various steps to improve supervision so financial frauds can be minimized. Digital technology has been deployed to investigate big financial transactions and loans in order to stop the repetition of banking irregularities.

Financial Stability

Financial stability concerns attained high priority following the global financial crisis in Bangladesh as everywhere else worldwide. Stress testing exercises are now routine practices in Bangladesh as diagnostic and supervisory tools. Bangladesh Bank and all other financial sectors, capital markets, the insurance sector, regulatory authorities in Bangladesh hold regular quarterly consultations toward policy coordination upholding financial stability.

Chart: Capital Market Developments



Stock Market

Stock markets in Bangladesh have stabilized by now after the 2010 bubble creation and the subsequent collapse. Bangladesh Bank proactively lent hand in stabilizing the capital market, at the same time taking steps for reining in the banking sector's capital market exposures within global best practice norms linked to their capital bases.

Developmental Central Banking

Protecting macro-financial stability is now universally accepted as a core responsibility of central banking. Macro-financial stability is impacted not only by shorter term business cycle related risks but also by longer term environmental risks and inequity driven social instability risks. Bangladesh Bank has been one of the few forerunner central banks addressing these risks in its monetary and financial policies, promoting socially responsible inclusive and environmentally sustainable financing.

Bangladesh Bank's attention towards promoting inclusive, environmentally sustainable financing is not in any way impairing its core price stabilization objective, as evident from the sustained spell of Bangladesh's inflation moderation and macroeconomic stability. Bangladesh Bank's attention to promoting inclusive, environmentally sustainable financing is already paying off by upholding buoyancy of domestic demand and growth dynamism. Unlike amorphous quantitative easing in advanced economies spilling into asset markets and further enriching the affluent; Bangladesh Bank's monetary and financial policy support interventions focused on inclusive and green growth are creating new output, employment, and income opportunities in large scales, in all economic sectors including agriculture, manufacturing, and services. Bangladesh Bank believes that these innovative approaches rather than indiscriminate monetary expansion are the launching pads needed for transition to Bangladesh's aspired higher growth trajectory.

Annex 1: Bangladesh Balance of Payments

In million US$

Particulars	Actual			Estimation	Projection
	2011-12	2012-13	2013-14	2014-15	2015-16
Trade balance	**-9,320**	**-7,009**	**-6,806**	**-10,015**	**-13,416**
Export f.o.b.(including EPZ)	23,989	26,567	29,765	30,762	33,069
Import f.o.b (including EPZ)	33,309	33,576	36,571	40,777	46,485
Services	**-3,001**	**-3,162**	**-4,189**	**-4,708**	**-4,944**
Receipts	2,694	2,830	3,065	3,126	3,439
Payments	5,695	5,992	7,254	7,834	8,383
Primary income	**-1,549**	**-2,369**	**-2,571**	**-2,797**	**-2,987**
Receipt	193	120	171	137	123
Payments	1,742	2,489	2,742	2,934	3,110
Of which: Official interest payments	*373*	*476*	*538*	*600*	*650*
Secondary income	**13,423**	**14,928**	**14,912**	**15,889**	**17,796**
Official transfers	106	97	79	65	150
Private transfers	13,317	14,831	14,833	15,824	17,646
*Of which: W*orkers' remittances	12,734	14,338	14,115	15,174	16,691
CURRENT ACCOUNT BALANCE	**-447**	**2388**	**1346**	**-1631**	**-3551**
Capital account	**482**	**629**	**644**	**500**	**550**
Capital transfers	482	629	644	500	550
Financial account	**1436**	**2770**	**3075**	**5220**	**4131**
Foreign Direct investment	1191	1726	1504	1700	1900
Portfolio investment	240	368	825	850	900
Other investment	5	676	746	2670	1331
Errors and omissions	**-977**	**-659**	**418**	**71**	**0**
OVERALL BALANCE	**494**	**5128**	**5483**	**4160**	**1130**

Source: Statistics Department, Bangladesh Bank, EPB and the Ministry of Finance.

Monetary Policy Flowchart

Developments/Information

- ✓ GDP growth & inflation
- ✓ Growth of monetary aggregates
- ✓ Liquidty Situation
- ✓ Short-term interest Rates
- ✓ Foreign Reserves & Exchange Rates

Policy Decision

Based on market information and judgment of the policy makers

Instruments

✓Open market operations (Repo, Reverse Repo and BB bill auctions)

✓Variation in reserve ratios

Targets

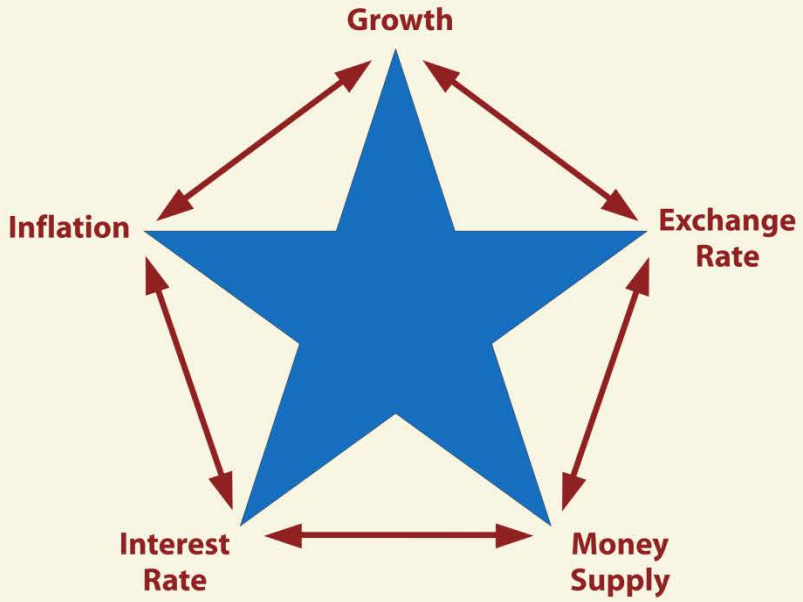
i) Operating Target
- ✓ Reserve Money

ii) Intermediate Target
- ✓ Broad Money
- ✓ Interest Rates

Goals

Moderate Inflation

Sustainable Growth



THE STAR MODEL OF MONETARY POLICY

